

AI Augmentation Analysis

Updated October 2026 | Final scoring rubric and prioritization matrix

This section evaluates where AI can add value across the seven steps of wealth management client onboarding. The analysis uses the finalized Anchor Rubric, Opportunity Matrix, and Score Rationale so that each recommendation is tied to a specific score rather than a general impression.

The project uses two scoring views. The Composite/Tier method is the primary scoring system and applies a weighted sum across five rubric dimensions: Quick Win at 4.00 or higher, Near-Term from 3.00 to 3.99, and Low Priority below 3.00. The Implementation Complexity vs. AI Value Potential 2x2 provides a stricter comparison. In that view, only Steps 4 and 7 land in the Quick Win quadrant. Steps 1, 2, 3, and 6 fall into Low Priority, while Step 5 falls into Optimize / Monitor. The differences between the two views are retained because they show where a strong composite score can still be limited by implementation complexity, governance, or regulatory risk.

Prioritization Snapshot

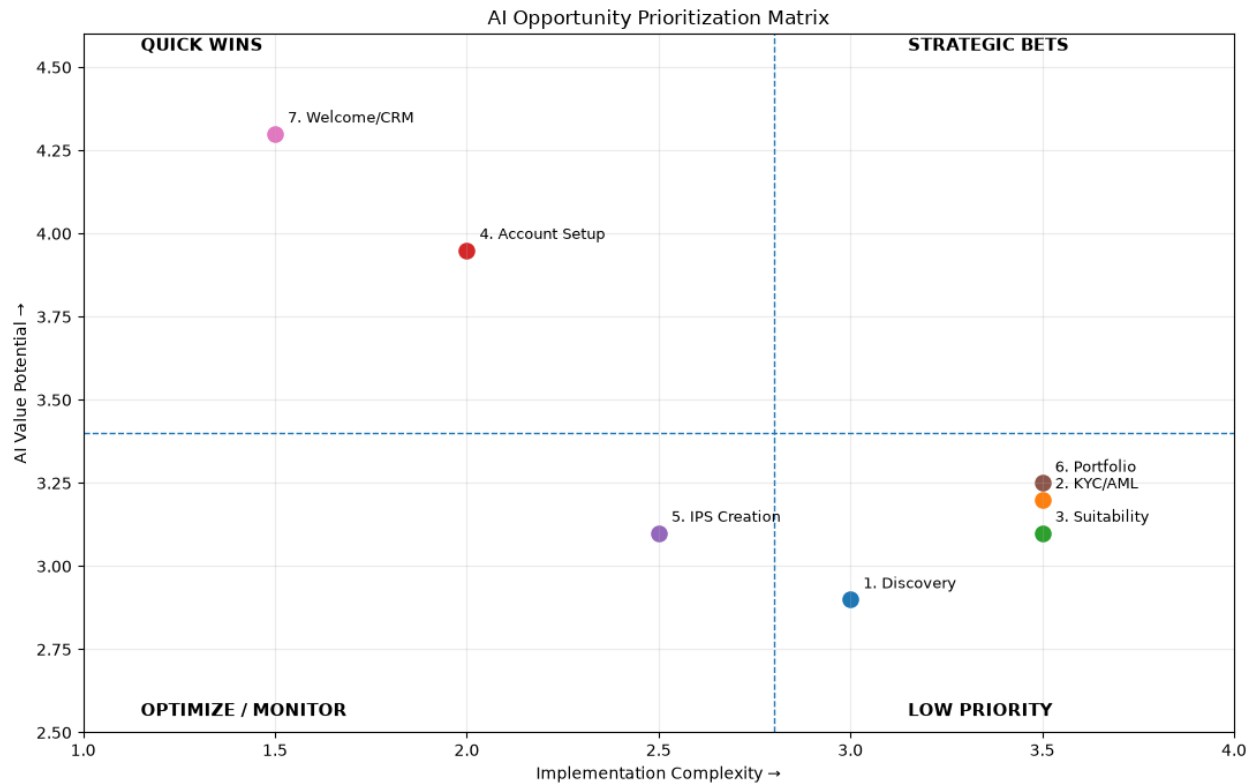


Figure 1. AI Opportunity Prioritization Matrix: Implementation Complexity vs. AI Value Potential
(analysis/prioritization_matrix_2x2_graph.png)

Process Step	Composite	Tier (formula)	Final Tier	2x2 Quadrant	Why
1. Prospect Discovery	2.90	Low Priority	Low Priority	Low Priority	Advisor judgment and unstructured input make this better suited for monitoring than automation.
2. KYC / AML Verification	3.20	Near-Term	Near-Term	Low Priority*	Strong automation potential, but fresh document collection and compliance review increase complexity.
3. Suitability & Risk Assessment	3.10	Near-Term	Near-Term	Low Priority*	AI can support documentation, but suitability remains an advisor-owned decision.
4. Account Setup & Documentation	3.95	Near-Term	Near-Term	Quick Win*	Highest process-friction score in the matrix and the strongest case for reducing NIGO rework.
5. IPS & Portfolio Mandate	3.10	Near-Term	Near-Term	Optimize / Monitor*	Template assembly is automatable, but investment-policy judgment remains human-led.
6. Portfolio Construction & Funding	3.25	Near-Term	Low Priority (override)	Low Priority	Formula score is Near-Term, but regulatory risk justifies a manual downgrade to Low Priority.
7. Welcome & Ongoing Service	4.30	Quick Win	Quick Win	Quick Win	Highest composite score and the only step rated Quick Win by both scoring views.

* The 2x2 quadrant differs from the Composite/Tier Final Tier for this step. The Composite/Tier method remains the primary scoring system, while the 2x2 is used as a stricter implementation view.

Step-by-Step AI Augmentation Opportunities

Step 1: Prospect Discovery

Composite Score: 2.90 | Final Tier: Low Priority

AI Augmentation Opportunity: AI-assisted note capture and structured intake summarization can reduce the documentation burden without replacing the discovery conversation. Automation feasibility scores 3/5 because scheduling, intake fields, and note organization are codifiable, while uncovering goals, concerns,

and family context still depends on advisor judgment. Data availability scores 2/5 because most information is created during a live, unstructured conversation. With a composite score of 2.90, Discovery is better suited to light-touch assistance than process automation.

Risk Level: Low. Discovery is primarily a relationship-building and information-gathering step. It receives an inverse risk score of 4/5. The main concern is documentation quality because incomplete discovery notes can affect downstream suitability and account decisions.

Step 2: KYC / AML Identity Verification

Composite Score: 3.20 | Final Tier: Near-Term

AI Augmentation Opportunity: Identity verification and OFAC, PEP, and adverse-media screening are highly rule-based, which supports an automation feasibility score of 4/5. Published identity-verification case studies report substantial reductions in manual review. Data availability remains a constraint at 2/5 because government identification, proof of address, and source-of-funds documents must be collected during onboarding and are often unstructured when received. Process friction scores 4/5 because incomplete customer information and document collection can create repeated review and rework.

Risk Level: Medium. KYC and AML controls require firms to verify customer information and investigate higher-risk screening results. Positive PEP, OFAC, or adverse-media findings require additional review before approval. The step receives an inverse risk score of 3/5 because the work is compliance-sensitive, even though it is not an investment recommendation.

Step 3: Suitability & Risk Tolerance Assessment

Composite Score: 3.10 | Final Tier: Near-Term

AI Augmentation Opportunity: AI can support questionnaire scoring, completeness checks, and consistency review, but it should not replace the advisor's suitability determination. Automation feasibility scores 3/5 because the step combines structured inputs with interpretive judgment. Data availability also scores 3/5 because some information may already be in the CRM, while current goals, risk tolerance, liquidity needs, and life changes still need to be gathered. The best use of AI is documentation support rather than decision ownership.

Risk Level: Medium-High. Suitability and best-interest obligations make this a regulated decision point. Advisor review and sign-off remain necessary when AI is used to support the process. The step receives an inverse risk score of 2/5, making it one of the higher-risk areas in the matrix.

Step 4: Account Setup & Documentation

Composite Score: 3.95 | Final Tier: Near-Term (highest composite score below Quick Win)

AI Augmentation Opportunity: Step 4 is the strongest automation candidate in the process based on the scoring results. Form population and e-signature delivery support an automation feasibility score of 4/5, and data availability scores 4/5 because most identity and account details should already exist by this point. The largest value driver is Process Friction / Failure Exposure, which scores 5/5. Industry benchmarks cited in the project place NIGO rejection rates around 15% to 30% of new-account paperwork, with rework adding roughly 2 to 5 days to the onboarding cycle. Document-assembly case studies also report meaningful reductions in NIGO. This makes a pre-submission validation gate a practical way to reduce rework before paperwork reaches the custodian.

Risk Level: Low-Medium. Account setup is subject to customer-information and supervisory requirements, but catching incomplete or inconsistent paperwork before submission is primarily an operational control.

The step receives an inverse risk score of 4/5, which is well below the exposure associated with suitability or portfolio recommendations.

Step 5: Investment Policy Statement (IPS) & Portfolio Mandate

Composite Score: 3.10 | Final Tier: Near-Term

AI Augmentation Opportunity: Populating an IPS template from previously collected suitability information is largely codifiable, which supports a data availability score of 4/5. However, translating client needs into investment-policy language, restrictions, and portfolio constraints still requires advisor judgment, so automation feasibility remains 3/5. AI can accelerate drafting and completeness checks, but it should not determine the investment mandate.

Risk Level: Moderate. The IPS documents the client's mandate and constraints and supports later best-interest and fiduciary decisions. Because the document itself is a planning artifact rather than an executed trade or recommendation, the step receives an inverse risk score of 3/5.

Step 6: Portfolio Construction, Funding & Investment Implementation

Composite Score: 3.25 (formula: Near-Term) | Final Tier: Low Priority (manual override)

AI Augmentation Opportunity: Step 6 has the highest regulatory exposure in the process and is the only step where the formula-driven tier is manually overridden. Model mapping and trade-ticket preparation are mechanically automatable, and both data availability and time & volume benchmarks score 4/5. The limitation is governance rather than technology. The actual recommendation must reflect the advisor's judgment, so AI should be limited to model-mapping, preparation, and execution support. For that reason, the final tier is reduced from Near-Term to Low Priority.

Risk Level: Highest in the matrix. Fully automating the investment decision would create the greatest exposure to best-interest, suitability, and fiduciary obligations. The step receives an inverse risk score of 1/5, which is the direct reason for the manual priority override.

Step 7: Welcome & Ongoing Service Setup

Composite Score: 4.30 | Final Tier: Quick Win

AI Augmentation Opportunity: Welcome communications, CRM record updates, and service-setup workflows are rule-based and repeat for every client. The step scores 5/5 for automation feasibility and 5/5 for time & volume benchmarks, producing the highest composite score in the matrix at 4.30. Because these tasks are standardized and supported by established workflow tools, Step 7 is the clearest starting point for an initial automation rollout. It is also the only step classified as a Quick Win by both scoring views.

Risk Level: Lowest in the matrix. Ongoing servicing remains subject to privacy, safeguarding, and books-and-records requirements, but these are baseline controls rather than a client-specific investment determination. The step receives the maximum inverse risk score of 5/5.

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